Creating sustainable value through G.R.O.W.

Record financial results in 2022, despite challenging business conditions

Mid-term objectives reached ahead of schedule

	2024 G.R.O.W. Targets, set in Nov 2019	2022 Achievements	Improvement 2019-2022
Net sales	-	€13,426m	9.7% CAGR (organic)
Underlying EBITDA	✓ Mid-single digit growth (annual average growth)	€3,229m	12.1% CAGR (organic)
EBITDA margin	-	24.0%	+1.3pp
Cost savings	✓ Exceed €350m annual run rate (raised to €500m)[1]	€79m	€467m cum.
FCF	-	€1,094m	+€3,506m cum.
FCF conversion	✓ Exceed 30%[2]	34%	+6.1pp
Working capital	✓ Reduce WC/ sales ratio by 2pp	12%	-3.5pp
Cashout (interest payments & pension cash service)	✓ Reduction by €75m (pensions >40, interests >35)	€245m	-€204m
Underlying net debt	-	€3,591m	-€1,795m
Underlying leverage ratio	-	1.1x	-1.0x
Pension liabilities	-	€1,057m	-€1,637m
ROCE	✓ Exceed 11%	16.0%	+7.9pp

— Our transformation over the past four years has made us a stronger and better company. In 2022, we achieved several new financial records, meeting our strategic goals well ahead of schedule. Our strong pricing initiatives more than offset €1.6 billion in inflationary costs and we achieved an EBITDA of more than €3 billion for the first time in our history. Through continuous and strict cost management, we have now delivered 15 consecutive quarters of positive free cash flow (FCF). This enabled us to invest more than €1 billion in capital expenditure, about half of which we invested in growth and energy transition projects. It also enabled us to strengthen our balance sheet, leading to an underlying leverage ratio of 1.1 – half the 2019 level. Our strong return on capital employed (ROCE) of 16% is double the 2019 level, reflecting our strong operational performance and upgrades to our portfolio.

1. Original target set in 2020 and upgraded to €500m run rate by 2024. **2.** Total FCF to Shareholders: 2019-22: €3.5bn.

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"I am proud of our teams as they overcame headwinds to deliver outstanding results in 2022, with records on many fronts – EBITDA, margins, cash and returns. Our balance sheet is strong and we are investing to drive growth and accelerate our path towards carbon neutrality. The best is ahead of us."

KARIM HAJJAR,
MEMBER OF THE EXECUTIVE LEADERSHIP TEAM,
CHIEF FINANCIAL OFFICER

Transforming our businesses

— Driven by our G.R.O.W. strategy and our Solvay One Planet sustainability roadmap, we have accelerated our operational transformation over the four past years, while reshaping and upgrading our portfolio in alignment with evolving global trends. We have dramatically improved the quality and performance of our Solutions business segment, leading to a complete transformation in our Novecare and Aroma Performance businesses. These businesses have refocused resources on fewer markets, driven by strong business trends relating to natural products and sustainability. They have also upgraded their portfolios with more specialty solutions, investing in new capabilities and innovation to develop new areas of growth for the Group. This has enabled the segment to significantly exceed its optimization mandate and create value.

Going beyond to serve our customers

Under difficult conditions – raw material issues, high energy prices, and huge logistics and supply constraints – we have benefited from the strong improvement programs we have implemented over the past three years through our G.R.O.W. strategy. They have enabled us to strengthen our operations, our supply chains and our balanced geographical footprint, ensuring that we can remain close to our customers and supply them locally.

The progress made by our teams is reflected in the many awards we received from customers in 2022. These included:

- → Supplier of the Year from Boeing, which uses our high-performance materials for aerospace applications
- → Elite Supplier from Lockheed Martin, a top defense customer to which we supply composite materials, for achieving 100% on-time deliveries and zero quality defects
- → Best Partner from Samsung, in recognition of our great performance in difficult supply environments
- → Best Supplier of the Year from Brazil's Oxiteno, for service, delivery, quality and sustainable practices. —